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# Insolvency: Company administration

Summary

1 An introduction to insolvency and administration
2 The administration procedure
3 Pre-pack administration
4 Company voluntary arrangements

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# Summary

The Insolvency Act 1986 sets out that a company is legally insolvent when it does not have enough assets to meet all its debts, or is unable to pay its debts when they fall due. Company directors are responsible for recognising when their company becomes insolvent, and they can be held legally responsible for continuing to trade whilst insolvent.

When a company becomes insolvent, it must follow an insolvency procedure. The insolvency procedure in its modern form exists to offer resolution to both the insolvent party and its creditors. The process aims to discharge an insolvent company's liabilities (such as debts or contractual obligations), and the settlement of a creditor's claims.

Often, companies will enter an insolvency procedure which gives an opportunity to rescue the company. The other option is liquidation, after which the company ceases to exist. Some of the most popular procedures with an opportunity to rescue the company are administration and company voluntary arrangements (CVA).

## Administration

Administration is an insolvency procedure run for the benefit of all creditors. During administration, a statutory moratorium prevents creditors from taking legal action against company assets while a rescue plan is worked out. The administrator has the power to "trade on" the business whilst seeking a buyer for it, meaning they can continue to operate and trade the business.

The Insolvency Act 1986 sets out that there are two routes into administration:

- by a court order made at a formal hearing; this hearing would follow an application by one or more creditors of the company, the company itself, the company directors, an insolvency practitioner acting for that company in a CVA, or by certain regulatory bodies
- by the company itself, or qualifying floating charge holders (any creditor holding a specific type of debt over substantially all of the company's assets) lodging a series of prescribed documents at court (the simple "out-of-court route")

### Moratorium

The administration process includes a statutory moratorium to protect the company from enforcement action by creditors. The moratorium suspends the

power of creditors to take certain actions against the company in administration or its property. For example, unless permission is granted by the court or the administrator, no legal process may be instituted or continued against a company protected by a statutory moratorium. An interim moratorium with the same protections as the statutory moratorium will apply from the moment an application is made for an administration order, or a notice of intention to appoint an administrator is filed in court.

### The administrator

Once in administration, the company is placed under the day-to-day control and management of the administrator.

All appointed administrators must be qualified insolvency practitioners (IPs). An administrator is an agent of the company to which they are appointed and they have a legal responsibility to all company creditors. They are also an officer of the court and as such, have a duty to act in good faith. They must be, and be seen to be, independent and impartial in their management of the company and dealings with its assets.

The costs incurred by the administrator are paid from the company's assets. All company property comes under their control. The administrator has the power to do anything "necessary or expedient for the management of the affairs, business and property of the company".

## Pre-pack administration

Some companies choose to use a pre-packaged administration. This is a planned insolvency procedure where the sale of all or part of a company's business is negotiated with a purchaser before an administrator is appointed. The sale is then completed on the appointment of the administrator.

Pre-packs allow administrators to realise the assets of an insolvent company, and to allow the viable parts of the business to continue operating away from the unviable parts. The proceeds of sale are usually used to repay creditors to prevent them from seizing the company's assets and to protect the company from being wound up.

The purchaser could be either a third party or a connected party such as the existing company management. A pre-pack can only be used where the insolvency practitioner, who has a legal responsibility to all company creditors, agrees that using a pre-pack offers the best possible return for the company's creditors.

## Company voluntary arrangement (CVA)

An alternative to a pre-pack or a standard administration procedure is the CVA. A CVA is a legal agreement between the company and its creditors, enabling the repayment of unsecured creditors, either in part or in full, over a defined period. A CVA does not affect the rights of secured creditors or preferential creditors unless they agree to the proposals. The existing management can stay in place under a CVA and the company can continue trading.

Secured creditors loan money with the condition that the creditor can claim certain of the company's assets if it becomes insolvent. Unsecured creditors do not have this condition, and are last to receive compensation if a company is liquidated. Preferential creditors have some legal priority over other unsecured creditors for payment; for example, HM Revenue and Customs is a preferential creditor for certain tax debts.

In some cases, administration is used as an initial step to enable the company to implement a CVA. If the proposed CVA is approved by the members (shareholders) of the company (50% of members must vote in favour) and by its creditors (75% of the creditors by value must vote in favour), the CVA will come into force, and the administration will end.

A proposal for a CVA must nominate a qualified insolvency practitioner to act as the supervisor of the process. The terms of the CVA are then carried out in much the same way as any other commercial contract. If all creditors are paid what the CVA has promised, the CVA will come to an end (that is, the CVA will have been successful).

In the event it is unsuccessful, for example if the company fails to keep up with its agreed payments, a CVA agreement will have provisions on how to deal with its termination. This will often lead to the company entering a subsequent insolvency procedure.

## Further reading

Library briefing, Compulsory liquidation of a company,

Library briefing, Phoenix trading and liability of directors

Library briefing, Regulation of Insolvency Practitioners (IPs)

Library briefing, Bankruptcy,

Library briefing, Debt Relief Orders

Library briefing, Individual Voluntary Arrangements (IVAs)

# 1 An introduction to insolvency and administration

## 1.1 Company incorporation

When a company is registered, the process is known as 'incorporation'. A company has a separate legal identity from the individuals who operate it. This is called the 'veil of incorporation'. A company can enter legal contracts, be liable for debts, and hold assets in its own right, independently from its owners. [1]

A business cannot operate as a UK limited company until it has been incorporated at Companies House, the government's register of companies, under the Companies Act 2006. Incorporation limits the owners' risks, hence the term 'limited' company. The owners of the company are not usually responsible for the company's liabilities, so that their personal assets (such as their house) are usually protected if the company runs into financial or legal difficulty. A company's finances are entirely separate from those of its owners and directors.

Businesses run as sole-traders and some types of partnership do not have a separate legal identity from their owners. Therefore, sole-traders and some partners are personally responsible for their business's liabilities, and risk becoming personally insolvent if the business fails.

For more information about company incorporation and the registration of different types of businesses, see the Library briefing Company registration in the UK.[2]

This briefing will explain the insolvency procedures for companies only. For more information about personal insolvency, see the Library briefings on:

- Bankruptcy
- Debt Relief Orders
- Individual Voluntary Arrangements (IVAs)

[1] Companies House, Guidance Incorporation and names, updated 6 April 2022, 1.1
[2] House of Commons Library, Company registration in the UK, 1 May 2024

## 1.2 Insolvency

The Insolvency Act 1986 determines the two tests for insolvency. A company is insolvent when it does not have enough assets to meet all its debts (the 'balance sheet test') or is unable to pay its debts when they fall due (the 'cashflow test').[3] A company which fails either test is insolvent.

### Balance sheet test

The balance sheet test considers whether the value of a company's total liabilities (what it owes) exceed its total assets (what it owns). The test accounts for contingent and prospective liabilities, meaning liabilities which may not or have not yet fallen due.[4]

### Cashflow test

The cashflow test assesses whether a company has the cash available to settle its debts as they fall due.[5] A company fails the cashflow test if it fails to pay its creditor a debt of £750 or more within three weeks of it being due. It is possible that a company may have more total assets than total liabilities (passing the balance sheet test), but still fail the cashflow test if it does not have cash available to pay its debts when they are due.

### Wrongful trading

Company directors are responsible for recognising when their company becomes insolvent, and they can be held legally responsible for continuing to trade whilst insolvent. The offence is known as wrongful trading and applies to directors who continue to trade when they ought to have known that there was no reasonable prospect of avoiding insolvent administration or insolvent liquidation.[6]

## 1.3 Insolvency procedures

When a company becomes insolvent, it must follow an insolvency procedure. Often, companies will enter an insolvency procedure which gives management an opportunity to rescue the company. The other option is liquidation, after which the company ceases to exist.

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3 Insolvency Act 1986, section 123
4 Insolvency Act 1986, S123(2)
5 Insolvency Act 1986, S123(1)
6 Insolvency Act 1986, S214

## Procedures with a rescue opportunity

There are four insolvency procedures which give an opportunity to try to rescue the company, as set out in the Insolvency Act 1986:

- Administration, an insolvency procedure run for the benefit of all creditors. During administration, a statutory moratorium prevents creditors from taking action against the company's assets while a rescue plan is worked out. The administrator has the power to "trade on" the business whilst seeking a buyer for it. This means the administrator can continue to operate the business, and continue trading the business during administration.

- Company Voluntary Arrangement (CVA), a legally binding agreement between a company and its creditors. Under a CVA, creditors will typically agree to a reduced or rescheduled debt arrangement which will allow the company to survive. CVAs are supervised by insolvency practitioners and are sometimes used in conjunction with the administration procedure.

- Scheme of arrangement, a court approved legal arrangement between a company and its creditors. The process is more complicated than a CVA, and for this reason is usually only used by large companies and those with a significant number of classes of creditor or shareholder.

- Administrative receivership, where a creditor with a floating charge (usually a bank) against the assets of the company appoints a receiver-manager to collect in and sell the company's assets to pay off its secured debt. Crucially, administrative receivers are not authorised to pay unsecured creditors (unless they have court approval). To pay unsecured creditors, the company must pass into liquidation. Administrative receivership is only an option where the creditor's floating charge was registered before 15 September 2003.

## Liquidation

Liquidation is an insolvency procedure which does not provide a rescue opportunity. Liquidations result in the winding up of the company (where it ceases to exist as a legal entity) and can be entered into two ways:

- They can be enforced by a court order known as a compulsory liquidation, usually after a creditor has submitted a winding up petition

- They can be voluntarily entered into by the directors with creditor consent, known as a creditors' voluntary liquidation.[7]

[7] The Insolvency Service, Director information hub: Compulsory liquidation, 4 October 2023; The Insolvency Service, Director information hub: Creditors' voluntary liquidation (CVL), 4 October 2023

For more information about liquidation, see the Library briefing Compulsory liquidation of a company.[8]

This briefing focuses on the insolvency procedures which provide an opportunity to attempt to rescue the company. See chapter 2 for an explanation of the administration process and chapter 4 for an explanation of company voluntary arrangements.

## 1.4 Origins of insolvency procedures

The insolvency process in its modern form exists to offer resolution to both the insolvent party and its creditors. The process aims discharge an insolvent trader's liabilities and settle a creditor's claims.

According to academics Vanessa Finch and David Milman, this principle began with a 1705 statute that relieved traders of liability for their debts when they became bankrupt and offered traders a means of limiting their personal liabilities. This was before formal company incorporation was introduced in law.[9]

Corporate insolvency law established limitations of the liability of company shareholders (known as members) in 1855.[10] Following the 1855 law, members of incorporated companies could limit their personal liability for company debts.

### Origins of administration

The concept of the 'administrator' was introduced by the Cork Report, a government-commissioned review of UK insolvency law whose recommendations influenced the Insolvency Act 1986.[11]

The Cork Report's terms of reference included the aim to propose "less formal procedures as alternatives to bankruptcy and company winding up proceedings".[12]

The Cork Report envisioned the administrator's function as seeking to reorganise the company aiming to restore it to profitability.[13]

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8 House of Commons Library, Compulsory liquidation of a company, 9 July 2021

9 Vanessa Finch and David Milman, Corporate Insolvency Law perspectives and principles, 3rd edition, 2017, pp. 10-11

10 Limited Liabilities Act 1855, described in: Vanessa Finch and David Milman, Corporate Insolvency Law perspectives and principles, 3rd edition, 2017, p 12

11 The Trade and Industry Committee, Second Report Draft Insolvency Bill, 20 December 1999, 1 Introduction

12 As above.

13 Vanessa Finch and David Milman, Corporate Insolvency Law perspectives and principles, 3rd edition, 2017, p14

Subsequent reforms to corporate insolvency legislation have sought to further improve the chances of rescue for companies facing insolvency. When debating reforms to the administration procedure through the Enterprise Act 2002 in the House of Lords, the government underlined this focus:

> Company rescue is at the heart of the revised administration procedure. We want to make sure that viable companies do not go to the wall unnecessarily.[14]

[14] HL Deb 29 July 2002 [Enterprise Bill]

# 2 The administration procedure

The administration procedure is governed by the Insolvency Act 1986. The act sets out the steps which must be taken by companies facing administration, creditors and insolvency practitioners.

## 2.1 Routes to administration

The Insolvency Act 1986 sets out that there are two routes into administration:

- by a court order made at a formal hearing[15]
- by certain parties lodging a series of prescribed documents at court (the simple "out-of-court route").[16]

### Court order

An application for a court order can be made:

- by one or more creditors of the company
- by the company itself or its directors
- by a liquidator or a supervisor of a company voluntary arrangement (CVA); this effectively replaces the liquidation order or CVA with an administration order (see chapter 4 of this briefing for more information)
- by one of the UK's financial regulators (the Financial Conduct Authority or the Prudential Regulation Authority); under section 359 of the Financial Services and Markets Act 2000, these regulators can apply for the appointment of administrators where companies they regulate are insolvent, or where unregulated companies are carrying out regulated activities without permission[17]
- by a designated officer of a court; section 87A of the Magistrates' Courts Act 1980 permits the designated officer of a court to apply for the appointment of administrators where a company has insufficient assets to pay a fine levied for a conviction[18]

15 Insolvency Act 1986, Schedule B1, paras 10-13
16 Insolvency Act 1986, Schedule B1, paras 14-34
17 Financial Services and Markets Act 2000, s359
18 Magistrates Courts Act 1980, s87A

## Out-of-court route

For the "out-of-court route", a company can be put into administration by filing a notice of appointment at court along with specified supporting documents. The procedure may be commenced by either:

- the company, acting through its directors or shareholders, by passing a valid resolution in accordance with the company's articles[19]
- a secured creditor who has a 'floating charge' over substantially all of a company's assets, known as a qualifying floating charge holder (QFCH). This allows the creditor to appoint an administrative receiver or, where the charge specifically states that it is a qualifying floating charge, to appoint administrators.[20] Box 1 below explains the different types of secured and unsecured debt, including floating charges.

### 1 Secured and unsecured debt

Debt can be secured or unsecured. Unsecured debt is where a creditor lends the company money, in exchange for a general legal obligation to repay the debt. If the company fails to repay the unsecured debt, the creditor would not have rights over any specific company asset to recover the debt. The creditor would have to follow a court enforcement procedure, such as an insolvency procedure, to recover funds, often competing with other creditors for a limited pool of assets.

Secured debt is backed by the company's assets. A common example is a mortgage.

There are two types of secured debt:

- Fixed charge debt
- Floating charge debt

The simplest form of secured debt is a fixed charge debt, such as a mortgage, where the company agrees that the creditor can seize a specific asset if the company fails to pay the debt. With a fixed charge, the creditor must be consulted if the company wishes to sell the underlying secured asset.[21]

A floating charge is also a type of secured debt. Unlike a fixed charge, a floating charge is taken over all company assets, or a class of assets. While the company is trading, the company can buy or sell the underlying assets without reference to the creditor. However, if the company fails to repay the debt, then the floating charge 'crystallises' and is converted to a fixed charge over the specific relevant assets.

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19 Insolvency Act 1986, Schedule B1, paras 22-34

20 Insolvency Act 1986, Schedule B1, paras 14-21

21 Insolvency Act 1986, S248

Both fixed and floating charges are registered on the Company Register, maintained by Companies House and recorded in the order that they are registered.[22]

A company, acting through its directors or shareholders, cannot go into administration unless it is insolvent or is likely to become insolvent. Similarly, the company cannot go into administration if it is already subject to a winding up petition, in liquidation, or has already been in administration or a Company Voluntary Arrangement within the previous 12 months.[23] Before entering administration, the company must first give five days prior notice to any QFCH.[24]

The requirement that the company must be insolvent or likely to become insolvent, does not apply if the administration is commenced by a QFCH. Instead, the company must be in default of the charge, meaning the company has failed to repay the loan within the terms agreed to. Before commencing an out-of-court procedure to appoint an administrator, the QFCH must first give two days notice to any holder of a qualifying floating charge registered before their own.[25]

## 2.2 Statutory moratorium

The administration process includes a statutory moratorium that prevents creditors from taking enforcement action against an insolvent company or its assets, under paragraph 42, schedule B1 of the Insolvency Act 1986.[26] Specifically, the moratorium prevents the following, unless the administrator or the court agrees that such actions can be taken:

- the enforcement of security over the company's property, where a fixed creditor seizes the asset they hold security over (except in certain specified circumstances under the Financial Collateral Regulations)[27]
- the repossession of any goods that the company has bought under a hire purchase agreement, where the buyer makes a downpayment then pays the rest plus interest in instalments (which term includes retention of title provisions)
- a landlord's right to terminate the lease on a rented property (forfeiture) by peaceable re-entry

[22] Companies House, Register a charge (mortgage) for a limited company, updated 1 May 2024
[23] Insolvency Act 1986, Schedule B1, para 25
[24] Insolvency Act 1986, Schedule B1, para 26 (1)
[25] Insolvency Act 1986, Schedule B1, para 15 (1)
[26] Insolvency Act 1986, Schedule B1, paras 42-43
[27] The Financial Collateral Arrangements (No.2) Regulations 2003, 8

- the appointment of an administrative receiver
- any legal process (including legal proceedings, execution, distress and diligence) against the company or its property.[28]

An interim moratorium will apply before the administration starts, from the time an application is made to the court for an administration order. If the out-of-court route is used, the interim moratorium applies from the time a notice of intention to appoint an administrator is filed in court. While in force, the interim moratorium grants the same protections as the statutory moratorium.[29] The statutory moratorium begins when the administration formally begins.[30]

The moratorium is intended to provide the company and the administrator with a "breathing space", freeing them from creditor pressure, giving them time to formulate proposals, lay them before the creditors and implement those which are approved. This moratorium on insolvency and on other legal proceedings against the company, is sometimes referred to as a "protective cloak".[31]

## 2.3 Moratorium under the Corporate Insolvency and Governance Act 2020

The Corporate Insolvency and Governance Act 2020 (CIGA) amended the Insolvency Act 1986 to introduce a new optional moratorium for companies that are financially distressed but remain viable.[32] Unlike the statutory moratorium, which only occurs in administration, the new moratorium is free-standing and is not linked to any formal insolvency procedure. A company can obtain a CIGA moratorium by filing the relevant documents at court.

For as long as the moratorium applies, it prevents creditors from enforcing their claims over a company's assets or beginning legal proceedings against the company (such as a winding up petition or judgement to enforce a debt), and it prevents landlords from forfeiting any property leases.[33] A CIGA moratorium must be overseen by a "monitor" who must be a licensed insolvency practitioner.[34]

The CIGA moratorium lasts for an initial period of 20 business days, with company directors able to extend for a further period of 20 business days

28 Insolvency Act 1986, Schedule B1, para 43
29 Insolvency Act 1986, Schedule B1, para 44
30 Insolvency Act 1986, Schedule B1, para 42
31 Practical Law, The statutory moratorium in administration, accessed 16 July 2024
32 Corporate Insolvency and Governance Act 2020 amended Insolvency Act 1986, Part A1
33 Corporate Insolvency and Governance Act 2020, s1 A18-A33
34 Corporate Insolvency and Governance Act 2020, s1 A34-A41

without creditor consent. Further extensions (of up to one year or more) are also possible with the approval of creditors or the court.[35]

While the moratorium is in place, the business can continue to trade as usual. With certain key exceptions, the company will not have to pay debts falling due before the moratorium but will have to pay debts falling due during the moratorium.[36]

The moratorium can be used by UK companies of any size. However, it is not available to certain entities (such as financial services firms) or to companies that have already commenced winding-up proceedings.[37]

## 2.4 The administrator

All appointed administrators must be qualified insolvency practitioners. Box 2 below explains the requirements for authorised insolvency practitioners.

### 2 Authorised insolvency practitioners

An insolvency practitioner is someone who is licensed and authorised to act in relation to an insolvent person, partnership or company. An insolvency practitioner must hold a licence and have:

- Passed the insolvency examinations (Joint Insolvency Examination).
- Gained experience in insolvency work.
- Satisfied a recognised professional body that they are fit and proper to act as an insolvency practitioner.[38]

Currently, an insolvency practitioner may be authorised by one of four professional bodies recognised under the Insolvency Act 1986 for the purposes of authorising and regulating insolvency practitioners.[39] It is an offence to act as an insolvency officeholder without being properly authorised.[40]

Authorised insolvency practitioners are required to:

- Comply with Statements of Insolvency Practice (SIPs) issued by the Insolvency Service (a government agency). The purpose of SIPs is to outline basic principles and essential procedures with which insolvency practitioner are required to comply.

35 Corporate Insolvency and Governance Act 2020, s1 A9-A15
36 Corporate Insolvency and Governance Act 2020, s1 A18-A33
37 Corporate Insolvency and Governance Act 2020, s1 A2
38 The Insolvency Service, How insolvency practitioners are authorised in Great Britain, updated 15 October 2018
39 Insolvency Act 1986, s391
40 Insolvency Act 1986, s389

- Take note of 'Dear insolvency practitioner' bulletins. These are issued by the Insolvency Service to insolvency practitioners and other interested stakeholders. They contain guidance, technical updates, revisions to legislation, and updates from policy and other departments within the Insolvency Service.
- Act in accordance with the Insolvency Code of Ethics. The code aims to help insolvency practitioners meet their professional and ethical obligations.
- Act on guidance issued by their authorising recognised professional bodies and undertake continuing professional development.

Often more than one insolvency practitioner is appointed to act jointly on an administration (and, typically, severally, so that each administrator can act alone).

An administrator is an agent of the company to which they are appointed.[41] They are also an officer of the court and as such, have a duty to act in good faith; they must be, and be seen to be, independent and impartial in their management of the company and dealings with its property.[42]

The costs incurred by the administrator are paid from the company's assets. The Insolvency Act 1986 provides that the administrator's remuneration and expenses take priority over floating charge security and preferential debts or the prescribed part creditors (see section 'Payments by the administrator' below).[43]

## 2.5 Powers of the administrator

Once in administration, the company is placed under the day-to-day control and management of the administrator. All company property comes under their control. [44] The administrator has the power to do anything "necessary or expedient for the management of the affairs, business and property of the company".[45]

The purpose of administration is to achieve one of three statutory objectives:

a) rescuing the company as a going concern; or

[41] Insolvency Act 1986, Schedule B1, para 69
[42] Insolvency Act 1986, Schedule B1, para 5
[43] Insolvency Act 1986, Schedule B1, para 99
[44] Insolvency Act 1986, Schedule B1, para 67
[45] Insolvency Act 1986, Schedule B1, para 59

b) achieving a better result for the company's creditors than would be likely if the company were in liquidation; or

c) realising property in order to make a distribution to one or more secured or preferential creditors.[46]

The administrator must consider whether they can rescue the company as a going concern and can only pursue the second or third objective once satisfied that a rescue is no longer practical or possible. They must perform their functions as quickly and efficiently as is reasonably practicable.[47]

The administration process is broadly governed by paragraphs 46 to 58 of Schedule B1 of the IA 1986. Further detail is provided by The Insolvency (England and Wales) Rules 2016 in England and Wales, by The Insolvency (Scotland) (Receivership and Winding up) Rules 2018 in Scotland and by the Insolvency (Amendment) Act (Northern Ireland) 2016 in Northern Ireland.

## Responsibilities of the administrator

The administrator's responsibilities and the process to be followed are:

- The administrator must prepare formal proposals for achieving the purpose of the administration, as soon as possible following administration, and within eight weeks. If relevant, this document must explain why the objective to rescue the company cannot be achieved. The proposals must be sent to the registrar of companies and all creditors and company members (shareholders) of whose address the administrator is aware.[48]

- Within 10 weeks of administration, the administrator must convene a meeting of creditors to consider the proposals. If creditors agree, the administrator can choose not to hold a creditors' meeting and instead pass resolutions by way of correspondence.[49]

- If the administrator calls a meeting of creditors, they will send details with their formal proposals, to be voted on by the creditors.[50] In order to vote in a decision procedure, a creditor must have submitted a proof of debt.[51] The proposals are approved if the majority of creditors by value vote in favour.[52]

46 Insolvency Act 1986, Schedule B1, para 3
47 Insolvency Act 1986, Schedule B1, para 4
48 Insolvency Act 1986, Schedule B1, para 49
49 Insolvency Act 1986, Schedule B1, para 51
50 The Insolvency (England and Wales) Rules 2016, Rule 3.38
51 The Insolvency (England and Wales) Rules 2016, Rule 15.28
52 Insolvency Act 1986, Schedule B1, para 53 and The Insolvency (England and Wales) Rules 2016, Rule 15.34

- Creditors have the right to elect a creditors' committee of between three and five representatives to assist the administrator.[53] The administrator must invite the creditors to form a committee when seeking approval for their proposals.[54]

- If the administrator does not expect there to be enough funds to make a distribution to unsecured creditors (known as a dividend), no creditors meeting is held. In that instance, only preferential and secured creditors are required to approve the proposals.[55]

Secured creditors are creditors who hold fixed or floating charges over the debtor's assets (see box 1 above). Preferential creditors are those whose claims rank higher in priority than unsecured creditors and floating charge holders. They include certain employee claims and contributions to pension schemes.[56] Box 3 below explains the statutory order of priority for payments to creditors.

## 2.6 Payments by the administrator

The administrator will make payments from the company's assets in the statutory order of priority.

The statutory order ensures that secured and preferential creditors, such as banks with mortgages and HMRC, get paid before unsecured creditors, such as suppliers and customers owed refunds or payments.[57] Box 3 below has further information about the statutory order of priority and the different classes of creditor.

Changes were made to the order in 2020 to give certain HMRC debts a secondary preferential creditor status. The changes ensure that when an administrator or liquidator makes payments to creditors, certain tax debts are paid before floating charge holders and unsecured creditors.[58]

Only the following specified HMRC debts are included as secondary preferential debts, for insolvency proceedings entered after 1 December 2020:

- Value Added Tax (VAT)

- Pay As You Earn (PAYE) income tax

- employee National Insurance contributions (NICs)

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53 The Insolvency (England and Wales) Rules 2016, Rule 17.3
54 Insolvency Act 1986, Schedule B1, para 57
55 Insolvency Act 1986, Schedule B1, para 52
56 Insolvency Act 1986, Schedule 6
57 Insolvency Act 1986, Schedule 6 and sections 176 and 386
58 Finance Act 2020, s98

- students loan repayments
- Construction Industry Scheme deductions.[59]

## 3 Statutory order of priority

The payment of creditors by administrators or liquidators must follow the statutory order of priority. In general, payments must be made to the following classes of creditors in order:

1. Secured creditors with a fixed charge (such as a bank with a mortgage)
2. Insolvency practitioners' fees and expenses
3. Preferential creditors (such as employee salaries and pension contributions)
4. Secondary preferential creditors (including certain HMRC debts explained in more detail above)
5. Prescribed part creditors. To increase the chances of returns to unsecured creditors, the Enterprise Act 2002 created the 'Prescribed Part'. This is a pot of money set aside from what would have been paid to floating charge creditors so that a repayment can be made to unsecured creditors. The Prescribed Part is calculated as 50% of the first £10,000 due to be repaid to floating charge creditors, and then 20% of floating charge creditor returns up to a total cap of £800,000. It only applies to floating charges entered into after 15 September 2003.[60]
6. Secured creditors with a floating charge
7. Non-preferential creditors (including unsecured creditors such as suppliers owed payment, or customers owed refunds)
8. Shareholders.[61]

The administration process is complex, and each case is unique. It can take time to assess the company's position and provide an estimate of the amount or timing for reviewing creditors' claims and making a distribution. Often, the administrator will include an assessment of the prospect for a distribution to unsecured creditors (known as a dividend) and, where possible, a timeframe in their proposals and subsequent reports.[62]

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59 HMRC Policy paper, HMRC as a preferential creditor, 30 November 2020, para 4

60 R3 Association of Business Recovery Professionals, Creditor Order of Priority, accessed 5 July 2024

61 Insolvency Act 1986, Schedule 6 and sections 176 and 386

62 See for example the administrator's proposals for wilko.com Limited which went into administration in 2023: AM03 Notice of administrator's proposals wilko.com Limited (PDF), 28 September 2023, pp. 31-32

If all or part of the company's business is sold, the administrator can elect to distribute the proceeds to the company's creditors. Alternatively, they may decide to transfer the proceeds to a liquidator, who would then deal with the distribution process. In either case, the administrator or liquidator is under a duty to make distributions in accordance with a statutory order of priority.

### Administration costs

In general terms, the costs of the administration are paid from the company's assets. Paying the administrator's remuneration and expenses takes higher priority than paying floating charge security creditors and preferential claims or the prescribed part (see box 3).[63] In other words, the costs of the administration are given priority over other claims except for those of fixed charge secured creditors.

During administration, the administrator acts as the company's agent, and can enter contracts with third parties on the company's behalf.[64] The administrator does not assume personal responsibility.

Any liability incurred under a contract agreed while the company is in administration counts as an expense of the administration. This means that sums due under these contracts are paid from the assets of the company before the administrator's fees and expenses, and distributions to floating charge holders and unsecured creditors.[65]

## 2.7 Effect of administration on creditors

Often, the only option for the creditor is to submit details of their claim (known as a "proof of debt") to the administrator and wait for the administrator's proposals. This "proof of debt" could be a receipt, invoice or correspondence with the company.

If a creditors' meeting is convened, a creditor may be able to join a creditors' committee to help the administrator fulfil the objective of the administration. The administrator is under a duty to report on their progress to all creditors.

The administration procedure automatically applies a statutory moratorium to the company in administration, which prevents a creditor from bringing or pursuing legal proceedings against the insolvent company or its assets.[66]

63 Insolvency Act 1986, Schedule B1, para 99
64 Insolvency Act 1986, Schedule B1, para 69
65 Insolvency Act 1986, Schedule B1, para 99 (4)
66 Insolvency Act 1986, Schedule B1, paras 42-43

### Exceptions to the statutory moratorium

A creditor can ask the administrator or the court for permission to bring proceedings against a company in administration. When considering whether the permit a creditor to take legal action despite the moratorium, the court must balance the rights of the individual creditor against the rights of the creditors as a whole.[67]

According to legal database Practical Law, the court will generally be reluctant to interfere with the conduct of the administration and to grant leave for any one creditor to pursue its claim with priority over other creditors.[68]

However, there are specific circumstances where the court may grant leave for the creditor to take legal despite the moratorium, such as in leasing agreements where the lessor stands to suffer significant loss if they cannot exercising their rights, and where granting leave to bring a claim would not cause a loss to other creditors that is out of proportion to the benefit it would confer on the lessor.[69]

### Breach of contract action during administration

Legal action for a breach of contract, which would include the failure to pay creditors, must be brought within six years of the breach as set out by the Limitation Act 1980.

The limitation period continues to run on claims during administration despite the moratorium, meaning creditors could be unable to take legal action if the limitation period ends during administration, even after an administration has ended.[70] However, the limitation period can be restarted if the administrator acknowledges the company's liability.[71]

## 2.8 Effect of administration on employees

Company administration does not mean that the company's employees are automatically dismissed. In order to keep the company trading while in administration, the administrator may adopt any contract of employment within the first 14 days of appointment.[72]

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67 Practical Law, The statutory moratorium in administration, accessed 5 July 2024

68 As above.

69 As explained in the Nicholls LJ judgement in the case *Atlantic Computers*, from Practical Law, The statutory moratorium in administration, Judicial guidance on lifting the moratorium

70 Limitation Act 1980, s5

71 Practical Law, The statutory moratorium in administration, accessed 5 July 2024

72 Insolvency Act 1986, Schedule B1, para 99 (5)

After this period, if the administrators continue to employ staff, they will generally be considered to have 'adopted' those contracts of employment. The Insolvency Act 1986 states that the payment of wages, pension contributions and holiday pay for 'adopted' employment contracts will rank above the administrator's own fees in the statutory order of priority. [73]

Other sums due to employees (including any unpaid wages that accrued before the administration) rank only as an unsecured (but potentially preferential) claim.[74]

### Transfer of employees to a new company

If the administrator can find a buyer to take over all or part of the business as a going concern, then jobs may be saved and transferred with the sale. Employees may be transferred with the business, and their rights may be protected under special rules called the Transfer of Undertakings (Protection of Employment) Regulations 2006.[75]

### Redundancy

If the administrator decides not to continue to employ staff, they must follow standard redundancy procedures. Where the insolvent company doesn't have enough money to pay unpaid wages, the Secretary of State for Business and Trade has certain obligations to pay employees through the Redundancy Payments Service.[76] The Library briefing Employment rights and insolvency explains the procedure.[77]

## 2.9 Effect of administration on company directors

Once appointed, the administrator is responsible for the day-to-day control and management of the company; all company assets come under their control. [78] A director or officer of the company may be required to provide the administrator with a statement of affairs, itemising the company's assets, liabilities and creditors.[79] It is an offence for a director or officer not to comply with this requirement.[80]

Because of the administrator's wide-reaching powers, the directors' powers are curtailed. In a nutshell, a director cannot exercise any management power that could interfere with the exercise of the administrator's powers

[73] Insolvency Act 1986, Schedule B1, para 99 (5-6)
[74] Insolvency Act 1986, Schedule B6,
[75] The Transfer of Undertakings (Protection of Employment) Regulations 2006
[76] Gov.uk, Your rights if your employer is insolvent: Your rights, accessed 24 July 2024
[77] House of Commons Library, Employment rights and insolvency, 24 April 2020
[78] Insolvency Act 1986, Schedule B1, para 67
[79] Insolvency Act 1986, Schedule B1, para 47
[80] Insolvency Act 1986, Schedule B1, para 48 (4)

without prior consent from the administrator.[81] If, however, the administration leads to the rescue of the company as a going concern, the administrator will hand control of the company back to the directors once the administration ends.

## 2.10 What happens at the end of an administration?

The administrator is expected to act quickly and efficiently. In any event, administration automatically ends after 12 months, unless extended by the court or creditors.[82] In practice, many companies remain in administration for more than one year and complex administrations can last several years.[83]

At the end of the administration, there are a number of possible results for companies. They may have been:

- restored to solvency, possibly through a Company Voluntary Arrangement, a voluntary agreement with creditors to write off creditors' liabilities, usually in exchange for partial settlement (see chapter 4)
- placed into liquidation, possibly with the same insolvency practitioner that acted in the administration now acting as liquidator, if the administrator finds that there are enough assets to distribute funds to unsecured creditors
- dissolved, if the administrator finds they are only able to distribute funds to secured and/or preferential creditors

For more information about the liquidation and dissolution of companies, see the Library briefing Compulsory liquidation of a company.

## 2.11 Complaints about an administrator

The administrator is an officer of the court and has a statutory duty to perform their functions:

- as quickly and efficiently as is reasonably practicable; and
- with regard to the interests of the company's creditors as a whole. [84]

[81] Insolvency Act 1986, Schedule B1, para 64
[82] Insolvency Act 1986, Schedule B1, para 76
[83] For example Safe Hands Funeral Plans Limited entered administration in March 2022, and the administration is ongoing as of July 2024.
[84] Insolvency Act 1986, Schedule B1, paras 3-4

Any concerns about the conduct of an administrator should, as a first step, be raised with the administrator directly or through any creditors' committee.[85] If the matter remains unresolved, the following specific and limited statutory remedies may be available:

- A creditor or company member can apply to the court for an order on the basis that the administrator's conduct has unfairly harmed their interests, or that the administrator is failing to perform their functions as quickly or efficiently as reasonably practicable.[86]
- A creditor can apply to the court under the Insolvency Act 1986 if there is evidence of misfeasance by the administrator.[87] Misfeasance encompasses a number of offences involving the misapplication of money or property and breaching fiduciary or other duties in relation to the company.[88]

In serious cases, the court can remove the administrator.[89] If their professional body judges that the insolvency practitioner acting as administrator has acted improperly, they may be subject to that body's disciplinary proceedings.

## 2.12 Pros and cons of the administration regime

### Pros

Possible advantages of company administration include:

- Administration can be quick to initiate, especially through the out-of-court procedure.
- Administration offers a moratorium on creditor action and can save a viable company in financial difficulty. An administrator has wide powers to trade on or sell the business as a going concern where possible.
- A pre-packaged administration (see chapter 3 below) can be used to complete sale negotiations begun by the directors or the proposed administrator before the administration.
- Subject to the agreement of creditors, the administration procedure allows for the restructuring of the company, potentially rescuing the business, preserving jobs and offering an increased return to creditors.

85 gov.uk, Complain about an insolvency practitioner, accessed 5 July 2024
86 Insolvency Act 1986, Schedule B1, para 74 (1)
87 Insolvency Act 1986, Schedule B1, para 75
88 As above.
89 Insolvency Act 1986, Schedule B1, para 88 and Insolvency (England and Wales) Rules 2016, Rule 3.65

## Cons

Possible disadvantages of company administration include:

- The court petition process is subject to the timetable of the court.
- The involvement of an insolvency practitioner incurs costs which must be paid before creditors can be paid.
- There can be an 'expectation gap' between what creditors and the general public expect an insolvency practitioner to be able to achieve, and what is actually possible. Insolvency practitioners can rescue only viable businesses through administration.[90]

## Industry challenges

The insolvency professionals trade association, R3, states that the profession is facing an impending shortfall in qualified insolvency practitioners as insolvency practitioners are leaving the profession faster than newly qualified ones are joining.[91]

Some R3 members stated that onerous regulation is a risk to the industry, and highlighted that a lack of regulatory certainty in recent years has caused difficulties:

> in recent years, there has been substantial turbulence in the regulatory landscape affecting IPs, with numerous proposed and implemented changes in both corporate and personal insolvency and the way in which IPs are regulated... this has led to a sense of instability in the profession - raising concerns about the sustainability of insolvency careers and the future of the regulatory framework.[92]

[90] The Insolvency Service, Confidence in the Regime 2021 to 2022 - insolvency practitioners and debtors, updated 14 April 2023

[91] R3, Shaping the future of insolvency: Insights from R3's Past Presidents, 18 April 2024

[92] R3, Shaping the future of insolvency: Insights from R3's Past Presidents, 18 April 2024

# 3 Pre-pack administration

A 'pre-pack' administration is an arrangement where all or part of a company's business or assets are sold upon appointment of an administrator, with the sale having been negotiated before administration.

This can allow viable parts of the company to be rescued quickly (by sale to another party), which might be beneficial if it allows the business to continue to trade with less disruption than traditional administration. However, a pre-pack can only be used if the insolvency practitioner responsible agrees that it is the best way to ensure a return for the company's creditors.

## 3.1 What is the pre-pack administration procedure?

A pre-packaged administration (a pre-pack) is a planned insolvency procedure in which the sale of all or part of a company's business or assets is negotiated with a purchaser before an insolvency practitioner is appointed as administrator. The sale is then completed on the appointment of the administrator. In late 2020, the Insolvency Service reported that pre-packs represented 29% of all administrations.[93]

Pre-packs are a means by which administrators can realise the assets of an insolvent company. The proceeds of sale are usually used to repay creditors to prevent them from exercising fixed charges (for example, by legally seizing assets) and to protect the company from being wound up. The trade association for business recovery professionals, R3, explains that pre-packs aim to maximise the return to an insolvent company's creditors by obtaining the highest possible sale price for the company's business or assets:

> Once it is publicly known how much difficulty a company is in, its value falls: key staff may leave, customers may cancel orders, and the brand may be hurt. The speed and discretion of a pre-pack therefore help protect value for creditors by achieving a sale before the value of a company's business or assets are damaged.[94]

The purchaser could be either an external third party, or a connected party (known as connected persons), such as the existing company management. The directors of a failed company may wish to purchase its assets or business

[93] The Insolvency Service, Pre-pack sales in administration report, 8 October 2020, 1.1 Foreword
[94] R3, Corporate Insolvency Procedures, Pre-packs, accessed 11 July 2024

in order to form a new company (often referred to as a 'phoenix company' or a 'newco').

However, a pre-pack can only be used where the insolvency practitioner, who has a legal responsibility to all company creditors, agrees that using a pre-pack offers the best possible return for the company's creditors.[95]

## 3.2 What is the difference between a pre-pack and a regular administration?

In a pre-pack administration, the preparatory work for the sale of a company's assets or business is carried out before it goes into formal administration. Terms are pre-negotiated with a purchaser before an administrator is appointed and the sale contract is executed by the administrator as soon as appointed.

### Business continuity

In a regular administration, the administrator begins managing and trading the business and conducting sales negotiations after being appointed. It follows from this that the regular administration process is usually slower and less predictable. The company can usually continue operating throughout the pre-pack administration process, making it possible to preserve brand integrity and retain customers and key employees.[96]

### Role of secured and unsecured creditors

In a regular administration, unsecured creditors are informed of the administrator's proposals before a business or asset sale takes place.[97] In a pre-pack administration, the sale is agreed before the administrator is appointed, meaning unsecured creditors may not be aware of the deal until after it has taken place.[98] Secured creditors would be involved before a deal was agreed, as they would have to agree to release their security over any secured assets in the proposed sale.[99]

The Statement of Insolvency Practice (SIP 16) rules were introduced to address the lack of transparency for unsecured creditors in pre-pack administrations. They ensure administrators provide explanations and justifications to unsecured creditors, for their decision to approve the deal. Box 4 below has more details.

95 Insolvency Act 1986, Schedule B1, para 5
96 Practical Law, Pre-packs in administration: overview, accessed 16 July 2024
97 Insolvency Act 1986, Schedule B1, para 49
98 Practical Law, Pre-packs in administration: overview, accessed 16 July 2024
99 Insolvency Act 1986, S248

## 3.3 How are pre-pack administrations regulated?

### Sales to unconnected persons

Pre-pack sales to external third parties are not specifically provided for in insolvency legislation; a company does not need the approval of its unsecured creditors or the permission of the court to initiate a pre-packaged administration procedure. However, an insolvency practitioner is an officer of the court and as such is required by law to ensure that a pre-pack sale provides the best outcome for creditors before recommending this course of action.[100]

Administrators for all pre-pack administrations, whether selling to connected or unconnected persons, must adhere to a Statement of Insolvency Practice (SIP 16). This is a mandatory professional standard produced by the Association of Business Recovery Professionals (R3).[101] Box 4 below provides details of the requirements of SIP 16.

### 4 Statement of Insolvency Practice (SIP 16)

Since the 1 November 2015, insolvency practitioners overseeing pre-pack administrations have been required to comply with the standards set out in latest Statement of Insolvency Practice (SIP 16).

SIP 16 is not set out in legislation but is a mandatory industry standard overseen by the Association of Business Recovery Professionals (R3). Although SIP 16 is not legally binding, failure to comply with it could result in an administrator facing regulatory or disciplinary action.[102]

SIP 16 was introduced in response to creditor concerns about pre-packs and aims to address these concerns by making the process more transparent, including by providing creditors with information about the marketing of the business and the alternatives considered.

The key provisions state that administrators of pre-pack administrations must:

[100] Insolvency Act 1986, Schedule B1, para 5
[101] R3, Technical Library, SIPS, 14 February 2020
[102] Practical Law, Pre-packs in administration: overview, accessed 16 July 2024

- Provide creditors with sufficient information to evidence that the pre-pack sale is appropriate and record the alternative actions that were considered.
- Ensure directors understand that the administrators are appointed to advise the company as a whole and to recommend the directors seek independent advice.
- Demonstrate that they have performed their functions in line with the administrator's responsibilities set out in the Insolvency Act 1986.
- Demonstrate that they have complied with specified marketing standards and justify the marketing strategy with explanations for any deviation from those standards.
- Provide a detailed narrative explanation and justification of the pre-pack.[103]

## Sales to connected persons

Each company has a separate legal identity from its directors and shareholders, who do not usually retain liability for the company's debts if it becomes insolvent. Therefore, in a pre-pack sale to a connected new company (for example, one set up by the directors of the insolvent company) the debts of the insolvent company do not transfer to the new company.

The process of transferring the trade and assets from a failed company to a new company run by the same people is legal, and is sometimes known as "phoenixing". Although legal, there are rules in place designed to prevent the abuse of pre-pack sales to connected parties.

### Regulation of sales to connected persons

The Administration (Restrictions on Disposal etc to Connected Persons) Regulations 2021 state that in order to carry out a pre-pack sale to a connected party, the administrator must first gain either approval from creditors, or a qualifying report from an independent evaluator.[104]

The definition of 'connected persons' is given by the Insolvency Act 1986, as a director or shadow director (meaning they act as a director without being formally named on company documents) of the company, or a non-employee associate of either the company or a director or shadow director.[105]

The requirement to obtain creditor approval, or a qualifying report from an evaluator applies to all sales of all or substantial parts of a company's assets

[103] Practical Law, Statement of Insolvency Practice (SIP) 16 toolkit, accessed 17 July 2024

[104] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 3

[105] Insolvency Act 1986, Schedule B1, para 60 (a)

within the first eight weeks of an administration. The evaluator's written opinion must be commissioned by the proposed purchaser of the business and the report must be made available to the creditors and a copy filed at Companies House.[106]

The evaluator must be independent and have the knowledge and experience to prepare the written opinion. The evaluator must not be the administrator or one of their associates, nor can they be connected to the company or the connected person themselves.

The administrator is not bound to accept the evaluator's opinion. Even where a report states that the case is not made for the sale, an administrator can still proceed with it but must provide a statement setting out their reasons for doing so.[107] However, as an officer of the court, the administrator would need to have good reasons to ignore a wholly negative opinion. The regulations restrict the ability of purchasers to obtain multiple reports to attempt to gain a more favourable evaluation.[108]

Evaluators do not need to be registered insolvency practitioners, and they require no professional qualifications. Evaluators are qualified if they are satisfied that their relevant knowledge and experience is sufficient. Evaluators must be independent, solvent, competent and must not have been disqualified from being a director of a company. [109] Evaluators must also hold professional indemnity insurance.[110]

## Restriction on reusing company names

Section 216 of the Insolvency Act 1986 prevents the management of a liquidated company from using company names associated with the liquidated company.[111]

The restrictions apply where an individual was a director or 'shadow director' (meaning they act as a director without being formally named on company documents) of the insolvent company at any point within the prior 12 months.[112]

In those circumstances, the individual is prohibited from being involved with a new company which uses a name used by the liquidated company, or a name which is so similar as to suggest an association with the liquidated

[106] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 9
[107] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 9 (4)
[108] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 8
[109] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 10 (a)
[110] The Administration (Restrictions on Disposal etc. to Connected Persons) Regulations 2021, Regulation 11
[111] Insolvency Act 1986, S216
[112] Insolvency Act 1986, S216 (1)

company.[113] Specifically, the individual cannot be a director, take part in the promotion, formation or management or take part in the carrying on of the new business.[114]

Section 216 restrictions applies when a company goes into 'insolvent liquidation', meaning it is wound up at a time when 'its assets are insufficient for the payment of its debts and other liabilities and the expenses of the winding up'.[115] This means that if part of a company's business is sold through pre-pack administration to a connected party, and the original company enters insolvent liquidation, the part of the business that was sold cannot use any of the original company's names..[116]

## Enforcement powers

A pre-pack administration (like any other administration) is under the ultimate control of the court. Once appointed, the administrator is required to act in the best interests of all the creditors.[117] If the court finds an insolvency practitioner has acted improperly, they may be made liable for misfeasance (performing a legal action in an improper way).[118] Furthermore, if their professional body judges them to have acted improperly, they may be subject to that body's disciplinary proceedings.

The Insolvency Service has enforcement powers, on behalf of the Secretary of State for Business and Trade, against directors who misuse the administration process to disadvantage creditors or seek to gain benefit for themselves. Directors of insolvent companies, which includes those going through administration, can be disqualified from holding directorship of a company by the court for a period between two and 15 years if their conduct in the period leading to the insolvency proceedings is unfit.[119] Unfit conduct can include:

- allowing a company to continue trading when it's insolvent
- failing to pay tax
- failing to file statutory documents to Companies House
- failing to keep proper business records
- misappropriating company funds
- failing to co-operate with the administrator or Insolvency Service.[120]

113 Insolvency Act 1986, S216 (2)
114 Insolvency Act 1986, S216 (3)
115 Insolvency Act 1986, S216 (7)
116 Lexis Nexis, Does section 216 of the Insolvency Act 1986 apply in a pre-pack scenario, 1 April 2020
117 Insolvency Act 1986, Schedule B1, para 3
118 Insolvency Act 1986, Schedule B1, para 75
119 Company Directors Disqualification Act 1986, S8
120 Company Directors Disqualification Act 1986, SS 8-12

# 4 Company voluntary arrangements

A company voluntary arrangement (CVA) is a legally binding agreement between a company and its unsecured creditors, which usually sets out how the company will settle some or all its debts.[121] CVAs are used to try to rescue viable companies more quickly than using the full administration process.

## 4.1 Purpose of company voluntary arrangements

The object of a CVA is to rescue a viable company in financial difficulties from liquidation. Company restructuring through a CVA enables the repayment of unsecured creditors, either in part or in full, over a defined period. A CVA does not affect the rights of secured creditors or preferential creditors unless they agree to the proposals. The existing management can stay in place under a CVA and the company can continue trading.[122]

In some cases, administration is used as an initial step to enable the company to propose and implement a CVA. If the proposed CVA is approved by the members (shareholders) of the company and by its creditors (in each case by the required majorities), the administration will end.

### Beginning and ending a CVA

A proposal for a CVA must nominate an individual to act as the supervisor of the process. The individual must be a qualified insolvency practitioner and could be the same individual acting as administrator.[123] This insolvency practitioner is known as the 'nominee' until a CVA proposal is approved by the creditors and members (shareholders), when they become the 'supervisor' of the CVA.

The terms of the CVA are then carried out in much the same way as any other commercial contract. If all creditors are paid what the CVA has promised, the CVA will come to an end (that is, the CVA will have been successful). If it is unsuccessful, a CVA agreement will have provisions on how to deal with its termination. If the company defaults on the terms of the CVA (for example, if it is unable to keep up with monthly payments to creditors) the CVA will normally terminate. This will often lead to the company entering a subsequent insolvency procedure.

[121] Companies House, What is a company voluntary arrangement (CVA)?, 31 January 2019
[122] Practical Law, Company voluntary arrangements (CVAs), accessed 22 July 2024
[123] Insolvency Act 1986, S1(2)

### Enforcing claims on debts in CVAs

The CVA procedure does not provide the protection of a statutory moratorium to prevent creditors taking legal action to pursue their debts. Therefore, in theory, creditors could launch legal action to chase their debts. However, as discussed above, the CVA can be used in conjunction with administration which does enjoy an automatic statutory moratorium. So in this case, the company could still formally enter administration to avoid creditor legal action.

Before June 2020, some small companies with CVAs were able to benefit from a 28 day moratorium. The Corporate Insolvency and Governance Act 2020 removed the small company moratorium for CVAs, and introduced an optional moratorium lasting 20 business days, as explained in section 2.3.[124]

## 4.2 CVA procedure

### Who can propose a CVA?

A CVA can be proposed by:

- the directors of a company (as long as the company is not in administration or liquidation)
- the administrator (where a company is in administration )
- the liquidator (where a company is in compulsory liquidation).[125]

A CVA cannot be proposed by shareholders or creditors of the company.

The Insolvency Act 1986 states that a CVA proposal must amount to a 'composition in satisfaction' of company debts, or a 'scheme of arrangement of its affairs'.[126] Aside from fulfilling this broad description of the purpose of a CVA, it is possible for a CVA to deal with unsecured creditors in different ways. There are some specific restrictions, but broadly, CVAs are a flexible tool.

CVA proposals must not unfairly prejudice the interests of any creditor and cannot affect the rights of secured creditors to enforce on their security nor affect the priority of payment of preferential creditors without their consent.[127] Companies House says that a CVA should provide for a better outcome to unsecured creditors than a liquidation.[128]

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124 Corporate Insolvency and Governance Act 2020 amended Insolvency Act 1986, Part A1
125 Insolvency Act 1986, S1 (1-3)
126 Insolvency Act 1986, S1 (1)
127 Insolvency Act 1986, S6
128 Companies House, What is a company voluntary arrangement (CVA)?, 31 January 2019

# 4.3 Role of the supervisor of a CVA

## Statement of Insolvency Practice 3.2

Insolvency practitioners, acting as the nominee or supervisor of a CVA, must comply with Statement of Insolvency Practice 3.2 (SIP 3.2), which is a non-legislative but mandatory industry standard.[129] SIP 3.2 became effective on 1 April 2021. The latest rules were introduced with the aim of increasing transparency and disclosure to creditors.

Broadly, the rules require the nominee or supervisor to clearly explain the process, requirements and consequences of the CVA to directors, shareholders and creditors, to ensure they make informed decisions. The rules require the insolvency practitioner acting as the nominee or supervisor to ensure they are satisfied that the CVA is achievable, and that a fair balance is struck between the interests of the company and the creditors. [130]

## CVA proposal

If an administrator or liquidator is the nominee or supervisor (in circumstances where the company is already in administration or liquidation), meetings of the company and of the creditors can be called without the need to report to the court. There is no time limit for this. [131]

The situation is different in cases where the CVA proposal is being made by the directors of a company (the supervisor is not an administrator or liquidator). In such cases, the directors will work with the supervisor (an insolvency practitioner) to prepare a CVA proposal setting out the terms of the compromise.[132]

## Nominee/supervisor's report

Certain information must be provided to the nominee (also known as supervisor) to consider the merits of the CVA, including a statement of the company's affairs. The nominee will then submit a statement to directors confirming whether the CVA is viable. The nominee must also prepare a statement to be submitted to the court stating whether the proposed CVA has a reasonable prospect of being approved and implemented and should be put to a meeting of creditors and shareholders.[133]

In effect, there are two possibilities:

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129 R3, Statement of Insolvency Practice 3.2 (effective from 1 April 2021), 1 April 2021

130 See 'Principles': R3, Statement of Insolvency Practice 3.2 (effective from 1 April 2021), 1 April 2021

131 Insolvency Act 1986, S1-3

132 Insolvency Act 1986, S1-3

133 Insolvency Act 1986, S2

### Positive nominee's report

Where the nominee's report is positive, they must summon a meeting of the company and its creditors either within 28 days of the nominee's report being filed, and at least 14 days' notice should be given.[134]

A copy of the written proposal is sent to company creditors and to shareholders. The proposal must set out full details of the company's assets and liabilities, and how it intends to deal with secured and preferential creditors. Creditors or members can suggest modifications before the meetings to consider the CVA proposal.[135]

### Negative nominee's report.

Where the report is negative, the company is not barred from seeking a second opinion from another insolvency practitioner. During this period, the directors of the company remain in charge of the day-to-day management of the company.

## 4.4 Acceptance of a CVA proposal

A CVA proposal must meet the required majorities for both creditors and shareholders to be accepted. The required majorities are:

- For creditors, more than 75% in value of a company's creditors present in person or by proxy and voting at a meeting to approve the CVA.
- For shareholders, more than 50% in value of the company's shareholders present in person or by proxy and voting at a meeting on the resolution to approve the CVA.[136]

If there is a difference of decision between the creditors and the shareholders, the decision of the creditors will take precedence, subject to any order of the court.[137]

If the proposal is approved, the insolvency practitioner will take on the role of supervisor, responsible for the implementation of the CVA. The authority of the supervisor derives from the terms of the CVA (which will be individual to each case).[138] CVAs are legally binding for all creditors who were entitled to vote on the proposals, irrespective of how they voted, or whether they voted.[139]

134 Insolvency Act 1986, S2-3
135 Insolvency Act 1986, S4
136 Insolvency Act 1986, S4A
137 Insolvency Act 1986, S4A
138 Insolvency Act 1986, S7
139 Insolvency Act 1986, S5(2)(b)

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